

REAL FINANCIAL EDUCATION SERIES • GUIDE 3 OF 3

MONKEY MONEY

Investment guide, expert level — narrated by Moro



Institutional strategies, advanced structures, and alpha

EXPERT LEVEL

I'm Moro

I wear a suit because discipline gets dressed up too. I carry a briefcase because that's where my structures go — not my emotions. And I point at the chart with my finger, not because I think I can predict it, but because I've already understood that the real work begins after that chart, not inside it.

Momo taught you to invest. Mika taught you to optimize. I'm here for something different: to get you to stop managing scattered investments and start managing a system. This guide assumes you already master the fundamentals and the intermediate material — compound interest, index funds, asset allocation, rebalancing, basic taxation. If that's not the case, go back to Guides 1 and 2 before continuing: what comes next here doesn't forgive weak foundations.

This guide is built for anyone managing significant wealth, for financial professionals, or for anyone who simply wants to understand how institutional managers think — macro, factors, derivatives, private markets, tail risk, legal structures, behavioral biases, and due diligence. In the end, all of it converges into a single system: yours.

WHAT WE'LL COVER

- 01 Macroeconomics applied to investing
- 02 Risk factors and factor investing
- 03 Value, growth, and GARP strategies
- 04 Financial derivatives — options and futures
- 05 Portfolio hedging
- 06 Alternative investments — private equity and venture capital
- 07 Hedge funds — strategies and evaluation
- 08 Tail risk and extreme drawdown management
- 09 Quantitative portfolio construction

MORO SAYS

An expert doesn't manage assets. They manage a system of exposures, risks, structures, and processes. If you're still thinking about "what to buy" before thinking about "what role this plays in my system," you're not operating at this level yet.

-
- 10 Legal structures and estate planning
 - 11 ESG and impact investing, beyond the marketing
 - 12 Behavioral finance applied to the investment process
 - 13 Due diligence on managers and private investments
 - 14 The expert investor's system — full integration
-

CHAPTER ONE

Macroeconomics applied to investing

You can't ignore the macroeconomic backdrop. Central bank decisions, the dynamics of economic cycles, and global capital flows shape the environment in which every single asset class operates, without exception.

THE ECONOMIC CYCLE AND ITS IMPACT ON ASSETS

CYCLE PHASE	FAVORED ASSETS	HURT ASSETS	KEY INDICATORS
Early expansion	Cyclical stocks, small caps, HY credit	Gold, long bonds	PMI rising, low rates, falling unemployment
Late expansion	Commodities, energy, materials, TIPS	IG bonds, utilities	Rising inflation, rising rates
Recession	Government bonds, gold, utilities, staples	Cyclical stocks, HY credit	Falling PMI, inverted curve
Recovery	Value stocks, financials, industrials	Gold (if rates rise)	Positive yield-curve slope, expanding credit

The yield curve as a map of the cycle: the yield curve is one of the most reliable recession predictors that exists. A sustained inversion (short-term rates above long-term rates) has preceded every U.S. recession in the last 50 years. The 10Y-2Y spread is the most closely watched of all.

THE FOUR MACROECONOMIC REGIMES

REGIME	GROWTH	INFLATION	BEST ASSET CLASS
Goldilocks	High	Low	Growth stocks, credit
Reflation	High	High	Commodities, cyclical stocks, TIPS
Stagflation	Low	High	Gold, commodities, cash
Deflation	Low	Low	Government bonds, defensives, gold

MONETARY POLICY — ANALYTICAL FRAMEWORK

Model Federal Reserve (and equivalent central bank) rate cycles as a fundamental input for asset allocation:

- **QE (Quantitative Easing):** expansionary, favors risk assets, compresses credit spreads.
- **QT (Quantitative Tightening):** contractionary, pressures valuations, widens spreads.
- **Forward guidance:** the market's expectations for future rates (implied in fed funds futures) matter as much as current rates.

Don't fight the Fed: this sums up decades of empirical evidence. When monetary policy is expansionary, risk assets tend to trend upward. When it's contractionary, caution is the right posture. I don't use it as a blind rule, but as a weighted factor in tactical allocation.

Identify which macro regime and which cycle phase you're in today. Note how your portfolio is positioned relative to that regime — and whether that exposure was a conscious decision or an inheritance of past decisions.

CHAPTER TWO

Risk factors and factor investing

Factor investing is one of the most significant evolutions in portfolio theory over recent decades: the decomposition of returns into identifiable, replicable sources of risk.

EMPIRICALLY PROVEN RISK FACTORS

FACTOR	DESCRIPTION	APPROX. HISTORICAL PREMIUM	SPECIFIC RISK
Market (Beta)	Exposure to systematic market risk	5–7% annual over rf	Market drawdowns
Value	Cheap vs. expensive companies (P/B, P/E, EV/EBITDA)	3–5% historical annual	Value traps; can underperform for long stretches
Size	Small caps vs. large caps	2–3% historical annual	Lower liquidity, higher volatility
Momentum	Recent winners tend to keep winning	4–6% historical annual	Abrupt crashes on reversals
Quality	High profitability, low leverage, stability	2–4% historical annual	Less pronounced in risk-on periods
Low volatility	Defensive stocks outperform on a risk-adjusted basis	Variable	Underperforms in strongly bullish markets
Carry	High-yielding assets vs. low-yielding assets	Variable by asset class	Sudden reversal in liquidity crises

Practical implementation: Vanguard, iShares, and Dimensional Fund Advisors offer factor ETFs (Smart Beta) with specific exposures. Examples: VLUE (iShares Edge MSCI USA Value Factor), MTUM (iShares Edge MSCI USA Momentum Factor).

The benefit of combining factors: factors have low or negative correlation with each other in certain periods. Value and Momentum, for example, tend to be negatively correlated: when one does well, the other tends to do poorly. Combining them reduces the volatility of a factor portfolio.

Factor crowding risk: when too many participants adopt the same factor strategy, valuations compress and the factor loses effectiveness. Momentum is especially prone to this. Monitoring the relative valuation of factors is part of the expert process.

EXPERT INVESTOR ACTION

Review your current factor exposure (most Morningstar or Barra analyses will give it to you). Identify whether you have an unintentional concentration in any factor, especially momentum.

Factor investing is not market timing. The evidence shows factors work over long horizons (10 years or more), but can underperform for 3 to 5 years in a row. I implement it with long-term conviction, not as a tactical trade I abandon after the first bad quarter.

CHAPTER THREE

Value, growth, and GARP strategies

The three dominant stock-selection philosophies all have solid theoretical and empirical foundations. The work isn't to religiously pick one: it's to understand them, evaluate them, and select based on macro context and your own edge.

VALUE INVESTING — GRAHAM AND BUFFETT

Buy assets below their estimated intrinsic value, with a sufficient margin of safety. Intrinsic value is estimated via DCF, comparable multiples valuation, or liquidation value.

- **Deep Value:** extremely cheap companies by any metric. High risk of value trap.
- **Quality Value:** cheap companies with solid fundamentals — Buffett's approach at Berkshire.
- **Event-Driven Value:** special situations (spin-offs, restructurings, SPAC arbitrage).

GROWTH INVESTING — FISHER'S APPROACH

Pay a reasonable price for companies with the capacity for sustained compound growth. The key metric isn't the current P/E, but the forward P/E adjusted for growth rate (PEG ratio).

- **TAM (Total Addressable Market):** how big can this business get? The first filter.
- **Unit Economics:** does it make money on the marginal unit? $LTV/CAC > 3\times$ is the typical SaaS threshold.
- **Sustainable moat:** network effects, switching costs, cost advantage, intangibles.

GARP — GROWTH AT A REASONABLE PRICE

Popularized by Peter Lynch: look for companies with solid growth but at valuations that don't price in perfection. The PEG ratio ($P/E \div \text{growth rate}$) below 1 is Lynch's classic criterion.

TARGET PEG BY STYLE

STYLE	TARGET PEG	FAVORABLE ENVIRONMENT	MAIN RISK
Deep Value	<0.5	High rates, bear markets	Value trap: the business is cheap for a reason
Quality Value	0.8–1.5	Any environment	Slightly overpaying for quality in expensive markets
GARP	0.7–1.2	Mid-cycle, moderate rates	Overly optimistic growth estimates
Growth	2–5+ (acceptable)	Low rates, expansion	Multiple compression if rates rise

EXPERT INVESTOR ACTION

Calculate the PEG ratio of your three largest individual positions. Compare it against the target range in the table and confirm whether the style you're paying for matches the thesis you believe you hold.

Context determines style. In environments of low rates and economic growth, growth beats value. In environments of high rates and inflation, value recovers its premium. I don't choose a style out of faith: I adjust exposure according to the macro cycle.



CHAPTER FOUR

Financial derivatives — options and futures

Derivatives are precision tools. Used correctly, they enable elegant hedges, income generation, and controlled leveraged exposure. Used without understanding them, they destroy capital — with no exceptions and no second chances.

An option is a contract that gives the buyer the right, not the obligation, to buy (call) or sell (put) an underlying asset at a set price (strike) on or before a specific date (expiration).

THE GREEKS — AN OPTION'S SENSITIVITY

CONCEPT	DEFINITION	IMPACT
Delta	Change in option price per \$1 change in the underlying	Indicates directional exposure (0 to ±1)
Gamma	Change in delta per \$1 change in the underlying	Acceleration of delta near expiration
Theta	Loss of value from the passage of time, daily	Time is the buyer's enemy, the seller's friend
Vega	Change in price per 1% change in implied volatility	Central to volatility strategies
Rho	Sensitivity to changes in interest rates	Relevant for long-dated options

STRATEGIES I USE MOST OFTEN

Covered Call: sell calls on stocks you already own. Generates extra income (premium) in exchange for capping the upside. Ideal in sideways or mildly bullish markets. Typical monthly return: 1–3% of the asset's value.

Cash-Secured Put: sell puts on assets you'd like to buy at a lower price. You collect premium while you wait for your target price. If the asset falls to the strike, you buy at an effective discount (price minus premium collected).

Protective Put / Portfolio Insurance: buy puts on the whole portfolio or on a representative ETF (SPY puts). It's insurance against severe drops. The cost is the premium paid, generally 1–3% annually of the protected portfolio.

Iron Condor / volatility strategies: market-neutral positions that benefit from a contraction in implied volatility. They require active management and a deep understanding of the volatility surface.

FUTURES IN PORTFOLIO MANAGEMENT

- **Beta overlay:** sell index futures to reduce exposure without selling the underlying positions (tax efficiency).
- **Currency hedging:** FX futures to neutralize currency risk in international positions.
- **Commodity hedging:** oil, metals, or agricultural futures for portfolios with sector exposure.

The derivatives professional's rule: never use derivatives to take a risk you don't fully understand. Use them first to reduce risk (hedging), then to generate income (covered calls/puts), and only as a last resort to express a directional view. Implicit leverage multiplies both losses and gains.

If you already hold long-term stock positions you don't plan to sell soon, evaluate a monthly covered call strategy on a portion of that position as an additional income source.



CHAPTER FIVE

Portfolio hedging

Hedging is not speculation: it's risk management. The job is to design asymmetric hedges that limit downside without excessively sacrificing upside.

PRINCIPLES OF EFFECTIVE HEDGING

- Identify the specific risk you want to hedge: general market, sector, currency, interest rates, volatility.
- Choose the instrument most correlated with that risk.
- Calculate the hedge ratio needed, based on beta or historical correlation.
- Weigh the cost of the hedge against the risk it removes.
- Define the hedge's duration and the review protocol.

HEDGING INSTRUMENTS BY RISK TYPE

RISK TO HEDGE	INSTRUMENT	CONSIDERATIONS
General market risk	Index puts (SPY/VIX calls) / short futures	Annual cost 1–3%; check portfolio correlation with the index
Currency risk	FX futures / currency-hedged ETFs / FX forwards	Carry cost; can be positive or negative depending on rate differential
Interest rate risk	Interest rate swaps / puts on TLT / short-duration bonds	Duration matching; calculated hedge ratio
Volatility risk	Long VIX calls / out-of-the-money puts	VIX is expensive to hold; ideal as a tactical hedge
Credit risk	CDS / IG vs. HY bond ETFs	Mainly available to institutions

Dynamic hedging: dynamic delta hedging means continuously adjusting the hedge as the underlying price changes. It's the basis of options market making and requires technological infrastructure and deep knowledge of the Greeks. For investment portfolios, periodic rebalancing of the hedge is the practical version of this concept.

EXPERT INVESTOR ACTION

Identify the biggest unhedged risk in your portfolio today (general market? currency?). Define which instrument from the table you'd use and at roughly what annual cost.

MORO SAYS

The cost of hedging and the cost of not hedging are two sides of the same decision. A perfect hedge eliminates both downside and upside. The goal isn't perfection: it's asymmetry. I look for hedges that eliminate catastrophic losses while still letting me participate in most of the upside — like life insurance: the cost is real, but the benefit is immeasurable when you need it.



CHAPTER SIX

Alternative investments — PE and venture capital

Private markets have historically generated significant return premiums over public markets. Access has traditionally been exclusive, though family offices and HNWLs increasingly have more options.

The illiquidity premium: illiquid assets offer a return premium because the investor accepts not being able to exit easily. Historically, private equity has outperformed the S&P 500 by 3–5% annually on a leverage-adjusted basis, though with high dispersion across managers.

TYPES OF PRIVATE EQUITY

TYPE	INVESTMENT STAGE	RISK/RETURN PROFILE	HORIZON
Venture Capital (VC)	Early-stage startups	Extremely high: 80–90% total loss rate, 10–20% generate all the return	7–12 years
Growth Equity	Proven pre-IPO companies	High, but lower than VC	4–8 years
Buyout (LBO)	Mature, leveraged companies	Medium-high, predictable with good management	4–7 years
Distressed	Companies in difficulty	High, asymmetric	2–5 years
Secondary PE	Buying stakes from existing investors	Medium, at an entry discount	3–6 years

EVALUATION METRICS

- **IRR (Internal Rate of Return):** annualized return adjusted for the timing of cash flows.
- **MOIC / TVPI:** how many times you get your capital back. 2.5x over 5 years $\approx$ 20% IRR.
- **DPI:** capital actually returned, not just paper gains. The most conservative of all.
- **RVPI:** value not yet realized within the portfolio.

DUE DILIGENCE ON A PE FUND

- Track record of the managing team in the same type of strategy, not in other prior strategies.
- Team consistency (key person risk): if the star manager leaves, what happens to the fund?
- References from prior LPs, investors in the same manager's previous funds.
- Deal-flow quality: how do they source opportunities? Competitive or proprietary?

The J-curve and managing expectations: PE funds usually show accounting losses in the first 2–3 years, because acquisition and management costs are recorded before gains materialize. The inexperienced investor reads this as failure. Someone who already knows the pattern reads it as the asset's normal cycle.

If you're evaluating a PE fund, ask for the DPI (not just the TVPI) of its full previous fund. It's the number that separates real returns from returns still on paper.

CHAPTER SEVEN

Hedge funds — strategies and evaluation

Hedge funds represent the most sophisticated active management in the market. Understanding their strategies lets you evaluate whether they add real value or simply charge a lot for beta disguised as alpha.

MAIN HEDGE FUND STRATEGIES

STRATEGY	DESCRIPTION	MARKET CORRELATION	FAVORABLE ENVIRONMENT
Long/Short Equity	Long favorite ideas, short weak companies	Low–medium	Markets with high dispersion between companies
Global Macro	Top-down bets on currencies, rates, and markets	Low	High macro uncertainty
Market Neutral	Eliminates directional exposure entirely	Very low	Any environment
Statistical Arbitrage	Quantitative relative-price models	Very low	Highly liquid markets
Event Driven	M&A arbitrage, restructurings, spin-offs	Medium	Markets with active corporate activity
Fixed Income Arbitrage	Inefficiencies in the yield curve and spreads	Low	High fixed-income volatility
CTA (Trend Following)	Systematic trend following	Negative in crises	Markets with clear trends

KEY EVALUATION METRICS

METRIC	CALCULATION	ACCEPTABLE BENCHMARK
Sharpe Ratio	$(\text{Return} - R_f) \div \text{Standard Deviation}$	>1 is good; >2 is exceptional
Sortino Ratio	$(\text{Return} - R_f) \div \text{Downside Deviation}$	Similar to Sharpe, but penalizes only downside
Calmar Ratio	$\text{Annual Return} \div \text{Max Drawdown}$	>1 is the minimum benchmark
Max Drawdown	Maximum peak-to-trough decline	Depends on strategy; assess in context
Alpha vs. benchmark	Return not explained by market exposure	Positive and statistically significant

The 2-and-20 problem: the traditional "2% management + 20% performance" fee structure creates problematic incentives: the manager benefits enormously from the upside but doesn't suffer proportionally from the downside (except reputationally). Look for structures with a hurdle rate and a high-water mark — no new fees charged until prior losses are recovered.

Before investing in any hedge fund, ask for its Sharpe and Calmar over the last 5 years, not just the gross return. A high return with a low Calmar is a sign of hidden tail risk.

CHAPTER EIGHT

Tail risk and extreme drawdown management

Tail events are rare but devastating. The expert's job is to build portfolios that survive what the probabilistic model didn't anticipate — not just what it did model.

The limits of VaR: Value at Risk is the most widely used risk estimator at the institutional level, but it assumes roughly normal distributions. Financial markets have fat tails: extreme events occur far more often than a normal distribution would predict.

CVaR and Expected Shortfall: these ask something more useful than VaR: if the worst X% of scenarios occurs, what's the average expected loss? Far more informative for tail risk.

PROTECTION STRATEGIES FOR EXTREME EVENTS

Tail Risk Hedging: strategies specifically designed to generate returns in severe crisis scenarios: far out-of-the-money puts, volatility options, CTA strategies. The cost in normal environments can be negative, but the return in a crisis is exceptional.

Barbell Portfolio (Nassim Taleb): concentrate the portfolio in two extremes: ultra-safe assets (80–90% in government bonds, cash) and maximum-upside assets (10–20% in options, VC, convex assets). Eliminates the vulnerable "mediocre middle" and captures asymmetric upside.

Correlations converge to 1 in crises — every asset falls together. True tail diversification requires assets that are genuinely inversely correlated in crisis scenarios: AAA government bonds, gold, long-volatility strategies, CTAs.

EFFECTIVENESS AS A TAIL HEDGE

ASSET	BEHAVIOR IN CRISIS	EFFECTIVENESS AS TAIL HEDGE
AAA government bonds	Rise (flight to quality)	High, historically consistent
Gold	Variable, generally positive	Medium-high, especially in confidence crises
CTA strategies (trend)	Positive in sustained trends	High in long crises; low in abrupt crashes
VIX calls / Long vol	Spikes in a crisis	Very high, but costly to maintain
Defensive stocks	Fall less than the market	Low; still correlated in full-blown panic

EXPERT INVESTOR ACTION

Calculate what return you'd need to recover from your worst historical drawdown. If that figure makes you uncomfortable, you already have the argument for allocating capital to tail protection.

MORO SAYS

A 50% drawdown requires a 100% return just to get back to your starting point. A 30% drawdown requires 43%. That mathematical asymmetry justifies paying a real premium for tail protection, even

when it feels "unnecessary" in normal times. Protection you never used wasn't wasted money: it's the reason you're still in the game.



CHAPTER NINE

Quantitative portfolio construction

The quantitative approach disciplines the investment process, removes emotional biases, and allows strategies to be evaluated with statistical rigor before real capital is put at risk.

Markowitz's mean-variance optimization is the theoretical starting point, but it has severe practical problems: high sensitivity to inputs (especially expected returns) and extreme concentration in a few assets. More robust alternatives:

- **Risk Parity:** equal risk contribution from each asset. Dalio's All Weather portfolio is the most famous example.
- **Minimum Variance:** maximizes risk diversification without assuming expected returns.
- **Maximum Diversification:** maximizes the ratio of weighted volatility to total volatility.
- **Equal Risk Contribution (ERC):** a variant of risk parity with equal marginal risk contribution.

RIGOROUS BACKTESTING — HOW TO AVOID OVERFITTING

- **Out-of-sample testing:** the strategy must work on data that wasn't used to develop it.
- **Walk-forward analysis:** optimize on one period, test on the next, and repeat going forward.
- **Monte Carlo simulation:** generates thousands of random return sequences based on historical parameters.
- **Minimize the number of parameters:** every additional parameter increases overfitting risk.

Risk factors in a quantitative framework: the Barra model (now MSCI) decomposes portfolio risk into factors — market, industry, style (value, size, momentum, quality, volatility). It lets you identify unintended exposures and manage risk with precision.

The perfect-backtest trap: any strategy can look brilliant in a backtest if it's optimized enough. The real question isn't "did it work in the past?" but "is there a robust economic reason it should keep working?" Strategies without a clear economic rationale are statistical noise, not alpha.

EXPERT INVESTOR ACTION

If you use or evaluate a systematic strategy, ask yourself about its economic rationale before looking at its backtest. If you can't explain it in two sentences, the backtest shouldn't convince you.

CHAPTER TEN

Legal structures and estate planning

At this level, the vehicle through which you invest matters as much as what you invest in. The legal structure optimizes taxation, protects wealth, and facilitates generational transfer.

STRUCTURES FOR INSTITUTIONAL AND FAMILY OFFICE INVESTING

STRUCTURE	MAIN USES	ADVANTAGES	CONSIDERATIONS
Holding company	Consolidates investments, optimizes taxes	Dividend deferral between subsidiaries; deductible expenses	Setup and maintenance costs; regulation
SICAV	Collective investment vehicle for large fortunes	Tax deferral until redemption; diversification	Minimum capital required; regulatory oversight
Family Office (MFO/SFO)	Centralized management of family wealth	Full control; confidentiality; multigenerational	High operating costs for MFOs; SFOs require \$100M+
Trust	Wealth transfer; asset protection	Separation of control and ownership; efficient inheritance	Jurisdiction-dependent; limited reversibility
LP / Limited Partnership	Private collective investment (PE, real estate)	Limited liability; pass-through tax structure	Legal complexity; low liquidity

ADVANCED ESTATE PLANNING

- **GRAT:** transfer future asset growth outside the taxable estate, paying gift tax only on the present value.
- **Estate freezing:** techniques to "freeze" the value of the current estate, transferring future growth to heirs at a lower tax cost.
- **Charitable structures:** foundations and DAFs (Donor Advised Funds) allow tax optimization while achieving philanthropic impact.

Domicile and flag-planting: for internationalized estates, tax domicile, personal residence, and asset location are three independent variables that can be optimized together. Treaty-favorable jurisdictions, territorial vs. worldwide taxation systems, and information-exchange agreements (CRS/FATCA) are the regulatory framework any expert wealth advisor must master.

EXPERT INVESTOR ACTION

Review whether your assets sit in the most tax-efficient structure available to your situation, or simply in whichever one you opened first. The difference is rarely trivial over 20 years.

MORO SAYS

The right legal structure can add 1–3% of net annual return equivalent, purely through tax and cost efficiency. Compounded over 20 years, that's the difference between a fortune and a multigenerational fortune. It's not evasion: it's financial architecture.



CHAPTER ELEVEN

ESG and impact investing, beyond the marketing

I don't accept the ESG narrative without questioning it. It's important to distinguish between corporate greenwashing, product marketing, and real sustainable-alpha opportunities — all three exist, and they're rarely announced with that clarity.

The measurement problem: E, S, and G are real dimensions of corporate risk. The problem is the lack of standardization — ESG rating agencies correlate with each other at only 0.3–0.6, compared to 0.9+ for credit ratings. Two agencies can give opposite ratings to the same company using completely different methodologies.

Does it generate alpha or destroy returns? The empirical evidence is mixed and depends on the period studied. Excluding "bad" sectors (tobacco, weapons, fossil fuels) has hurt performance in certain cycles — especially in 2022, when energy was the top-performing sector. The G (governance) factor is the most consistently correlated with long-term outperformance.

IMPACT INVESTING VS. ESG

APPROACH	PRIMARY OBJECTIVE	MEASUREMENT	EXPECTED RETURN
ESG Integration	Management of non-financial risk	Agency ESG scores	Market or above
Negative Screening	Exclusion of specific sectors	Compliance with criteria	Potentially reduced vs. benchmark
Impact Investing	Measurable social/environmental impact generation	Impact metrics (IRIS+, SROI)	Variable; sometimes below market
Blended Finance	Combines public and private capital for impact projects	Dual: financial + impact	Below market, but guarantees reduce risk

The rigorous stance on ESG: use it as a risk-analysis tool, especially governance, not as a moral filter that replaces financial analysis. Demand transparent methodology from ESG managers. Question the ratings. And clearly separate your impact objectives from your return objectives — mixing them without rigor leads to mediocre results on both fronts.

EXPERT INVESTOR ACTION

If you hold ESG funds in your portfolio, ask for the exact methodology behind their rating, not just the final score. Compare it against at least one other agency to see how much they agree.

CHAPTER TWELVE

Behavioral finance applied to the investment process

I know the behavioral finance literature not as an academic curiosity, but as a map of my own blind spots. Building processes that neutralize biases is the final layer of any real edge.

THE MOST COSTLY BIASES AT THE EXPERT LEVEL

BIAS	DESCRIPTION	HOW IT SHOWS UP IN EXPERTS	COUNTERMEASURE
Overconfidence	Overestimating the accuracy of one's own analysis	"I'm sure about this trade" with insufficient margin of error	Pre-mortem analysis: how could this go wrong?
Confirmation bias	Seeking information that confirms the existing thesis	Ignoring red flags in your favorite investment	Assign a "devil's advocate" in the process
Narrative fallacy	Building causal stories about random events	"It went up because I analyzed it well" vs. luck	Analyze the process, not just the outcome
Sunk cost	Holding a losing position rather than admitting a mistake	Averaging down on theses already broken	Predefined stop-loss; decide based on current fundamentals
Recency bias	Overweighting recent events	Increasing risk right before a crash	A systematic framework not swayed by recent performance

DESIGNING A PROCESS TO NEUTRALIZE BIASES

- **Investment Policy Statement (IPS):** write down the strategy, entry and exit criteria, and rebalancing rules, before any specific market condition.
- **Pre-mortem analysis:** before executing, ask what would make this fail. Forces you to confront the bearish arguments.
- **Separation of analysis and decision:** whoever analyzes doesn't decide alone. A committee reduces individual biases.
- **Investment journaling:** document the reasoning behind every decision. Reviewing it periodically reveals your own error patterns.

EXPERT INVESTOR ACTION

Write your own IPS if you don't already have one on paper. A strategy that only exists in your head quietly changes with every emotional decision.

MORO SAYS

In financial markets, technical edge erodes fast because others copy it. Behavioral edge is the most sustainable one there is: it demands honest introspection and sustained discipline — two

things most market participants never develop. Whoever knows their own biases and designs processes to neutralize them has an advantage that compounds over time.

CHAPTER THIRTEEN

Due diligence on managers and private investments

The quality of due diligence is what separates the institutional investor from the amateur with institutional-sized capital. It's a systematic process, never an intuitive one.

QUANTITATIVE DUE DILIGENCE (TRACK RECORD)

- Length of track record: at least 7 years to evaluate behavior across different market environments.
- Team consistency over that period: are they the same people who generated the track record?
- Return attribution: does the alpha come from real skill, or from unintended factor exposure?
- Maximum drawdown and time to recovery: as important as the return itself.
- Volatility and correlations across different environments: does it behave as promised?

QUALITATIVE DUE DILIGENCE (OPERATIONAL)

- Incentive structure: fees, clawbacks, the team's own co-investment in the fund.
- Investment process: documented, consistent, replicable? Or a cult of personality?
- Operational infrastructure: prime broker, independent administrator, custodian, top-tier external auditor.
- Regulatory and legal risk: history of disputes, regulator complaints, litigation.
- Organizational culture: staff turnover, treatment of LPs, transparency in reporting.

Red flags that should stop the process immediately: a track record audited by the firm itself or by an unknown auditor. A strategy that "can't be disclosed in detail" because it's proprietary. Pressure to decide quickly ("this window is closing"). Returns that are suspiciously consistent and positive — the classic symptom of Madoff-style schemes. Lack of separation between the asset custodian and the manager.

MORO SAYS

Never trust information that comes only from the manager itself. Verify the track record with the independent administrator, not with the GP. Talk to LPs from prior funds, not only the ones the manager suggests as references. The information that takes more effort to obtain is usually the most valuable of all.

EXPERT INVESTOR ACTION

Before your next private investment, ask to speak with at least one LP the manager didn't directly suggest to you. That single call changes more decisions than you'd think.

CHAPTER FOURTEEN

The expert investor's system — full integration

Everything above converges into one integrated system. The expert investor doesn't manage assets: they manage a complex system of exposures, risks, structures, and processes.

THE 7 LEVELS OF THE EXPERT SYSTEM

- **Level 1 — Macro framework:** view of the economic cycle and market regime. Updated quarterly.
- **Level 2 — Strategic allocation:** long-term distribution across asset classes. Reviewed annually.
- **Level 3 — Tactical allocation:** short-to-medium-term deviations based on valuation and macro. Reviewed monthly.
- **Level 4 — Instrument selection:** which ETF, managers, funds, or securities execute each block. Reviewed semi-annually.
- **Level 5 — Risk management:** monitoring drawdown, correlations, concentration, active hedges. Continuous monitoring.
- **Level 6 — Tax and structural optimization:** vehicles, timing of tax events, domicile. Reviewed annually with an advisor.
- **Level 7 — Behavioral governance:** updated IPS, journaling, pre-mortem before every major decision. Ongoing process.

The portfolio as an adaptive system: it's not a static collection of assets. It's a living system that adapts to the macroeconomic environment, to changes in relative valuation between asset classes, to the evolution of your own goals, and to the opportunities that markets generate across different cycles.

Sophisticated vs. complex without order: a sophisticated portfolio has every position with a clear reason, a specific role, and a defined exit protocol. A complex, disordered one is just the accumulation of past decisions with no systemic coherence. The difference isn't how many positions you have — it's whether each one knows why it's there.

THE CONTINUOUS IMPROVEMENT PROCESS

- Full annual system review: what worked? what didn't? was it process or luck?
- Update the IPS when life, tax, or market circumstances change.
- Evaluate managers and funds: is the alpha holding up? did the team or process change?
- Continuing education: markets evolve; strategies that used to work can stop working.

MORO SAYS

Both the expert and the excellent expert know the strategies and understand the risk. The difference is epistemic humility: the excellent one knows they don't know what they don't know. They build systems that are robust to their own ignorance. They design portfolios that survive the scenarios they didn't anticipate, not just the ones they modeled. That asymmetry — between what they can lose and what they can gain — is the result of decades of process, not a single brilliant

trade

The 14 chapters, in a single read

- 1** The macro cycle shapes the environment for every asset class.
- 2** Factors (value, momentum, quality) are sources of systematic premium with empirical grounding.
- 3** Selection style — value, growth, or GARP — should adjust to the macro cycle.
- 4** Options and futures are precision tools for hedging and income.
- 5** Effective hedging seeks asymmetry, not perfection.
- 6** PE and VC offer a real illiquidity premium, but demand rigorous due diligence.
- 7** Hedge funds are evaluated by real alpha, never by gross return.
- 8** Tail risk requires specific, explicit protection.
- 9** The quantitative approach disciplines the process and removes biases.
- 10** The right legal structure adds a net return equivalent of 1–3% annually.
- 11** ESG is a risk tool, not a moral one; governance is the most relevant factor.
- 12** Neutralizing your own biases is the most sustainable edge in the market.
- 13** Rigorous due diligence separates smart private investing from speculation.
- 14** The expert portfolio is a 7-level adaptive system, under continuous improvement.



END OF THE SERIES

This was the third and final guide in Monkey Money's Real Financial Education Series. From Momo to Mika, and from Mika to me: the same path, in three levels. What comes next is no longer in these pages — it's in your own system, executed with discipline, year after year.